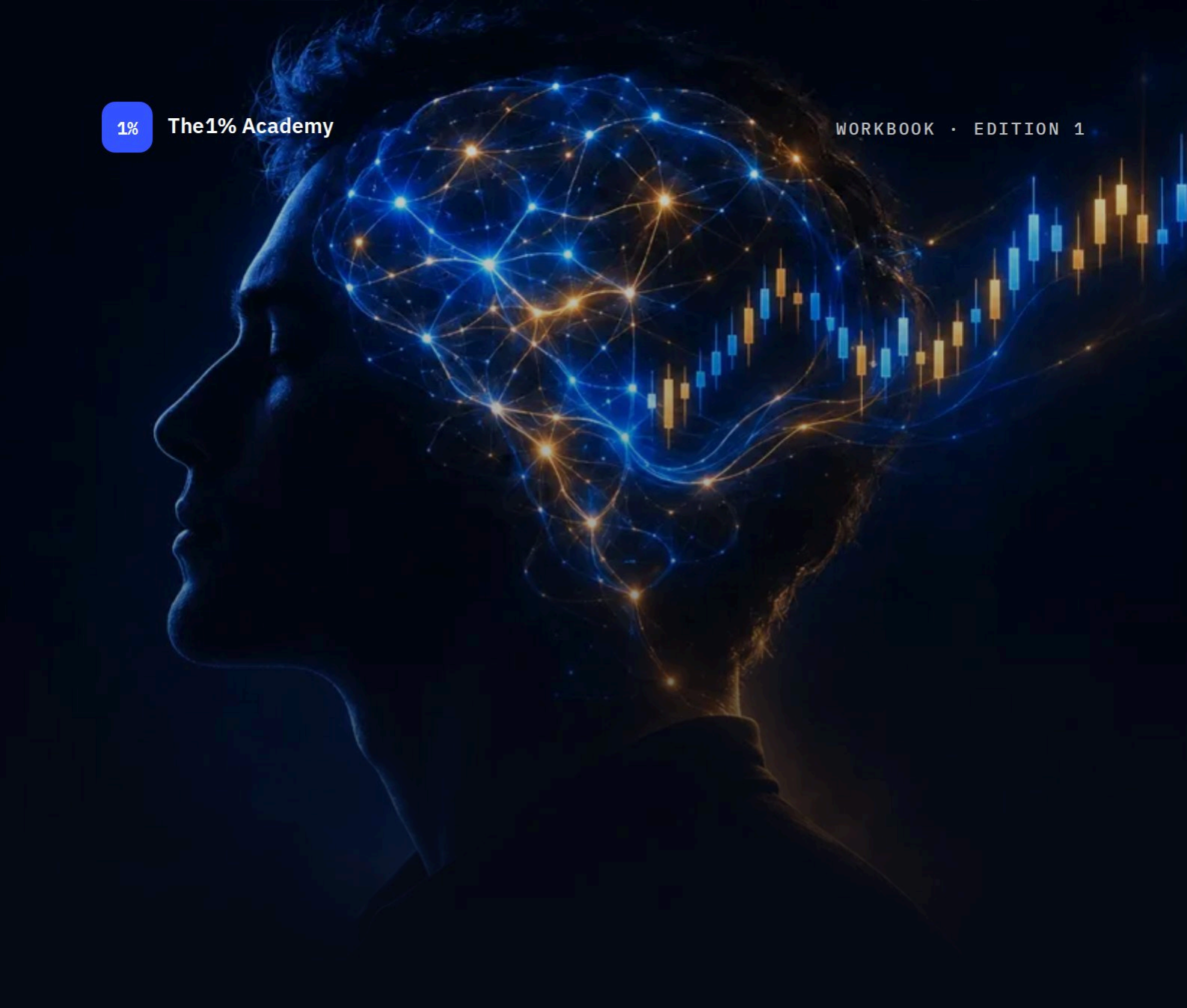




1%

The1% Academy

WORKBOOK · EDITION 1

TRADING PSYCHOLOGY · BEGINNER

Trading Psychology Masterclass

The1% Workbook

Fear, greed, FOMO, revenge and the habits that let a good plan survive a bad day. Every lesson, chart and practice task from the course, with space for your own notes.

7

LESSONS

9

CHARTS

10

QUIZ QUESTIONS

~4h

STUDY TIME

What you will learn

- ✓ Think in probabilities: judge decisions by process, not by one outcome.
- ✓ Use circuit breakers and if-then plans to stop a bad trade becoming a bad day.
- ✓ Recognise fear, greed, FOMO and revenge in your body before they reach the order ticket.
- ✓ Build a pre-market, in-trade and post-session routine you can keep for a career.

Contents

THE PROBABILITY MINDSET

01	Why psychology is the real edge	9 min
02	Fear and greed: the emotional cycle	8 min

THE FOUR ACCOUNT KILLERS

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CONFIDENCE AND CONSISTENCY

06	Winning streaks and overconfidence	8 min
07	The routine that protects you	10 min

FINAL

Q	Final quiz and answer key	10 questions
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How to use this workbook

- Read one lesson at a time, then do its practice task on a real chart before moving on.
- Use the notes space at the end of each lesson to write what you saw in the market, not what the page says.
- Take the final quiz without looking back. Then check the answer key and revisit any lesson you missed.
- Take the same quiz online in the The1% Academy to earn your certificate.

Why psychology is the real edge

A profitable strategy still loses often. The trader who cannot handle the losing streaks will abandon it right before it pays.

Every trade is one of many

A strategy that wins 40% of the time at 2R per win and 1R per loss has a positive expectancy of +0.2R per trade. Over 100 trades, that is +20R. It will also, almost certainly, produce streaks of five, six or seven losses in a row.

The chart below is a realistic sequence of 50 trades from exactly that strategy. Look at the middle: six losses in a row. Most traders quit there, change strategy, or double their size to 'win it back'. The system was working the whole time.



Decisions versus outcomes

- A good decision can lose money. A bad decision can make money. One trade tells you almost nothing.
- Judge each trade by whether you followed your plan, not by whether it won.
- Judge your strategy by a sample of at least 30 to 50 trades, not by this week.

At The1% we score every trade twice: the result in R, and a process score for whether you followed the plan. Over time, the process score predicts the results.

KEY TAKEAWAYS

- Positive-expectancy strategies still produce long losing streaks.
- Judge trades by process, strategies by samples.
- The psychological edge is being able to keep executing through normal variance.

COMMON MISTAKES

- Changing strategy after four or five losses.
- Calling a trade good because it won, even though it broke your rules.
- Raising size to recover losses quickly.

PSYCHOLOGY CHECK

Write this somewhere you can see it: 'I am trading the next 100 trades, not the next one.'

PRACTICE TASK

Take your last 20 trades. Score each one 1 (followed plan) or 0 (did not). Compare the average R of the 1s and the 0s.

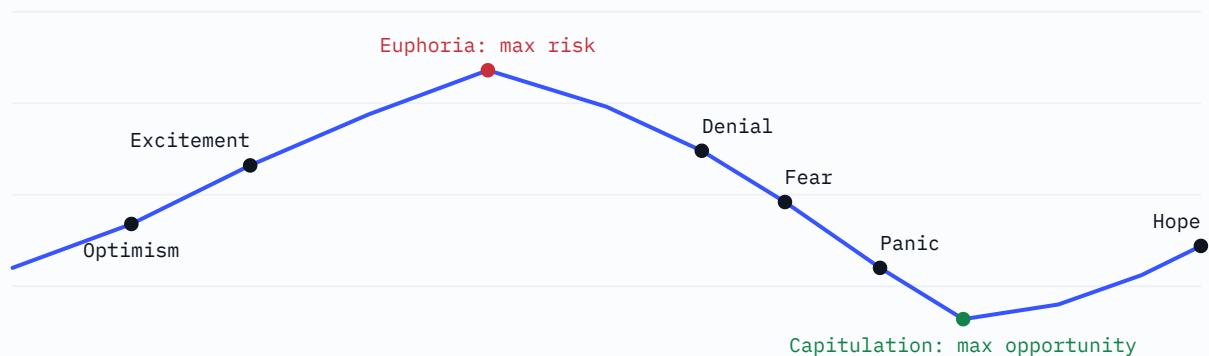
Fear and greed: the emotional cycle

The two emotions that drive markets also drive your decisions. They peak at the worst possible moments: greed at the top, fear at the bottom.

The cycle

The emotional cycle of a market move

DIAGRAM



Traders feel safest buying near euphoria and most afraid buying near capitulation. That is exactly backwards.

What fear and greed look like in a trade

- Fear: skipping valid setups after a loss, closing winners too early, moving stops too tight.
- Greed: oversizing after wins, removing targets, adding to positions without a plan, trading more often.
- Both: making decisions during the trade that were not in the plan before it.

The antidote

You cannot switch emotions off. You can move decisions to a time when emotions are quiet: before the market opens. Entry, stop, target and size are decided in advance, and the live trade is only execution.

If you feel a strong emotion during a trade, that is a signal to follow the plan more strictly, not to improvise.

KEY TAKEAWAYS

- Greed peaks at tops, fear peaks at bottoms.
- Fear cuts winners and skips trades; greed oversizes and overtrades.
- Make decisions before the trade, when emotions are quiet.

COMMON MISTAKES

- Trusting a strong feeling as a signal.
- Deciding size after seeing a big move.
- Closing a trade early 'to be safe' when the plan says hold.

PSYCHOLOGY CHECK

Name the emotion out loud: 'I feel greedy right now.' Naming an emotion measurably reduces its grip.

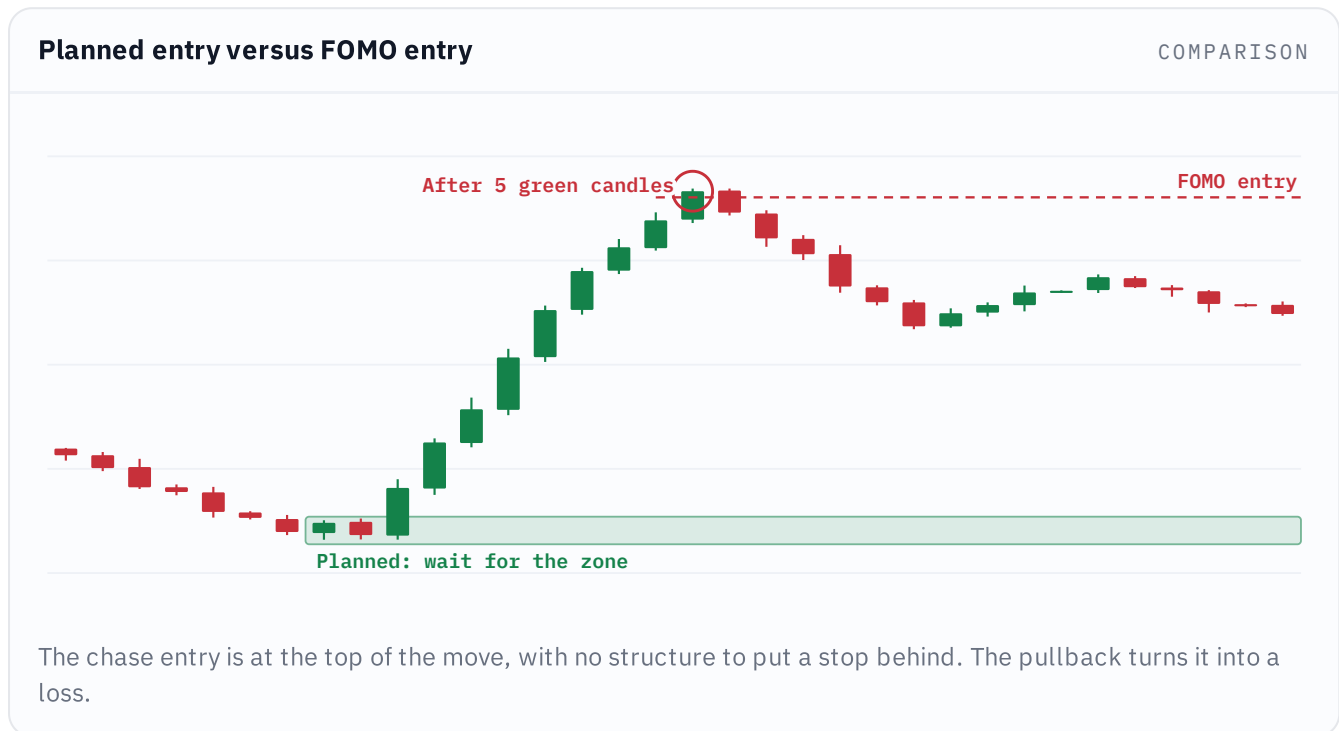
PRACTICE TASK

For your next 10 trades, write one word for your emotion at entry and one at exit. Look for patterns.

FOMO and chasing

The fear of missing out makes you enter late, with a wide stop, at the worst price. Missing a trade costs nothing. Chasing one usually costs 1R.

Anatomy of a chased trade



Why FOMO happens

- Big moves are visible and social. Other traders post their wins.
- Your brain treats a missed gain like a loss, and losses hurt about twice as much as gains feel good.
- Boredom: after hours of waiting, any move feels like an opportunity.

Rules that stop chasing

- No entry without a pre-marked level. If it was not on the chart before the move, it is not a setup.
- If price is more than 1R away from your planned entry, the trade is missed. Let it go.
- Keep a missed-trades list. It proves there will always be another setup.

The market is open about 120 hours a week. There is no last trade.

KEY TAKEAWAYS

- Chased entries have the worst prices and the weakest stops.
- A missed trade is 0R. A chased trade is often -1R.
- Only trade levels you marked before the move.

COMMON MISTAKES

- Entering after a run of big candles in one direction.
- Using a tiny stop on a chase entry to 'make the size work'.
- Following social media calls without your own plan.

PSYCHOLOGY CHECK

When you feel FOMO, stand up. Physical distance for two minutes is often enough for the urge to pass.

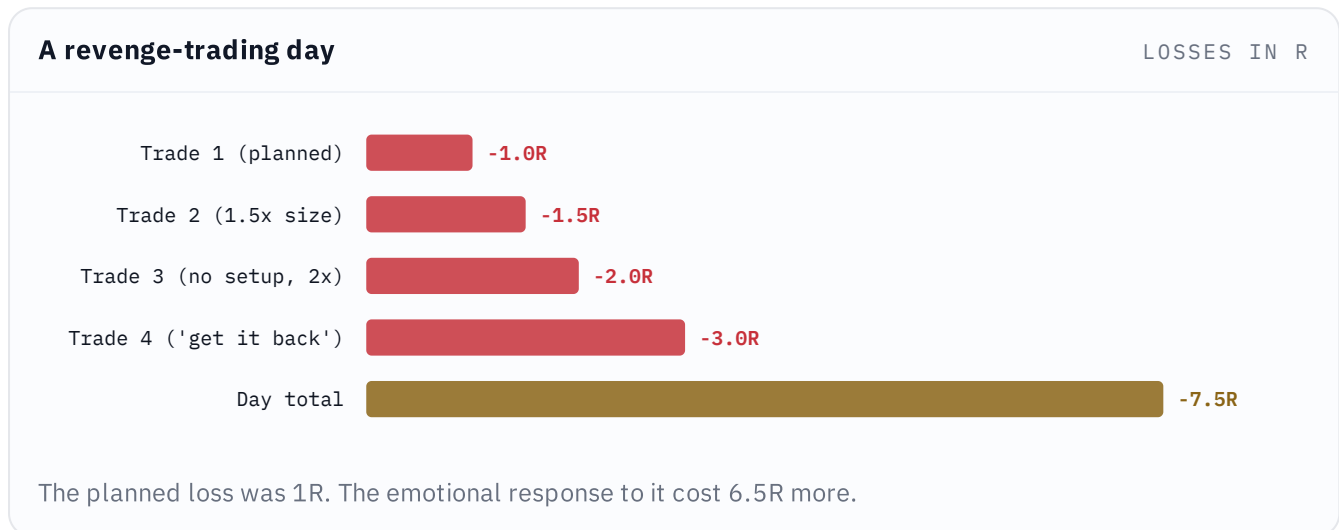
PRACTICE TASK

Keep a missed-trades list for two weeks. For each one, record what would have happened if you had chased it.

Revenge trading and tilt

One loss is a cost of business. The trades you take to win it back are what destroy accounts. Build circuit breakers before you need them.

How one loss becomes a disaster



Recognising tilt

- Physical: faster heartbeat, tight jaw, leaning toward the screen.
- Mental: 'the market owes me', 'just one more', 'this has to turn'.
- Behavioural: bigger size, faster entries, skipping the checklist, trading unfamiliar markets.

Circuit breakers



- Daily loss limit: stop trading at -3R (or -3%) for the day. No exceptions.
- Cool-off after two or three losses in a row.
- Maximum trades per day, set in your plan.

The1% journal has these rails built in. Set them in Settings and the app warns you before the next trade.

KEY TAKEAWAYS

- The first loss is a cost; revenge trades are the disaster.
- Learn your personal tilt signals: body, thoughts, behaviour.
- Circuit breakers must be set in advance and never negotiated live.

COMMON MISTAKES

- Increasing size after a loss.
- Trading a different market to 'find' a trade.
- Setting a daily limit and then moving it.

PSYCHOLOGY CHECK

Write an if-then plan: 'If I lose two trades in a row, then I close the platform and walk for 15 minutes.'
If-then plans are far more effective than intentions.

PRACTICE TASK

Write your three circuit breakers and your personal tilt signs. Put them on paper next to your screen.

Loss aversion: cutting winners, holding losers

Losses hurt about twice as much as equal gains feel good. That single bias makes traders take profits too early and let losses run.

The asymmetry

How gains and losses feel

DIAGRAM



Behavioural research on loss aversion suggests a loss weighs roughly twice as heavily as an equal gain.

What it does to your results

To avoid the pain of a winner turning into a loser, you close winners early. To avoid the pain of taking a loss, you hold losers and hope. The result is small wins and big losses, which can make even a 60% win rate lose money.

Same strategy, two traders

AVERAGE R

Disciplined: avg win	+1.6R
Disciplined: avg loss	-1.0R
Loss-averse: avg win	+0.8R
Loss-averse: avg loss	-1.5R

At a 55% win rate the disciplined trader makes +0.43R per trade. The loss-averse trader loses -0.24R per trade.

Fixes

- Set the target and stop before entry, and let one of them be hit.
- Use partial profits at a fixed R (for example 2R) so the urge to close early has a planned outlet.

- Track your average win and average loss in R every week.

KEY TAKEAWAYS

- Losses feel about twice as bad as equal gains.
- Loss aversion causes small wins and big losses.
- Pre-set stops, targets and partials neutralise it.

COMMON MISTAKES

- Moving the stop away when price approaches it.
- Closing at +0.5R 'because it might come back'.
- Averaging down into a losing position without a plan.

PSYCHOLOGY CHECK

Before closing a trade early, ask: 'Is this in my plan, or is this pain avoidance?'

PRACTICE TASK

Calculate your average win and average loss in R for your last 30 trades. If the loss is larger than the win, this lesson is your leak.

Winning streaks and overconfidence

Winning streaks feel like skill. Raising risk because of them is how many traders give back months of gains in one week.

The streak trap

The same 30 trades: fixed 1% risk versus risk that grows with confidence

ACCOUNT %



Same trades, same win rate. Raising risk after the hot streak turned a normal losing run into a 41% drawdown. At a fixed 1% the worst drawdown was under 10%, and the account still finished ahead.

Signs of overconfidence

- Skipping the checklist because 'I can see it'.
- Trading bigger or more often after a good week.
- Taking setups outside your plan because you feel in form.

Rules for raising risk

- Raise risk only on a schedule, based on a sample (for example after 50 trades with positive expectancy).
- Raise in small steps, for example from 1% to 1.25%.
- Drop back immediately after a set drawdown.

KEY TAKEAWAYS

- Streaks are normal variance, not proof of new skill.
- Never raise risk because of how you feel.
- Raise risk on a schedule, in small steps, and step down fast.

COMMON MISTAKES

- Doubling size after a great week.
- Loosening rules when winning.
- Believing the next loss will not come.

PSYCHOLOGY CHECK

After a big win, the best trade is often no trade.
Take the rest of the day off and let the excitement settle.

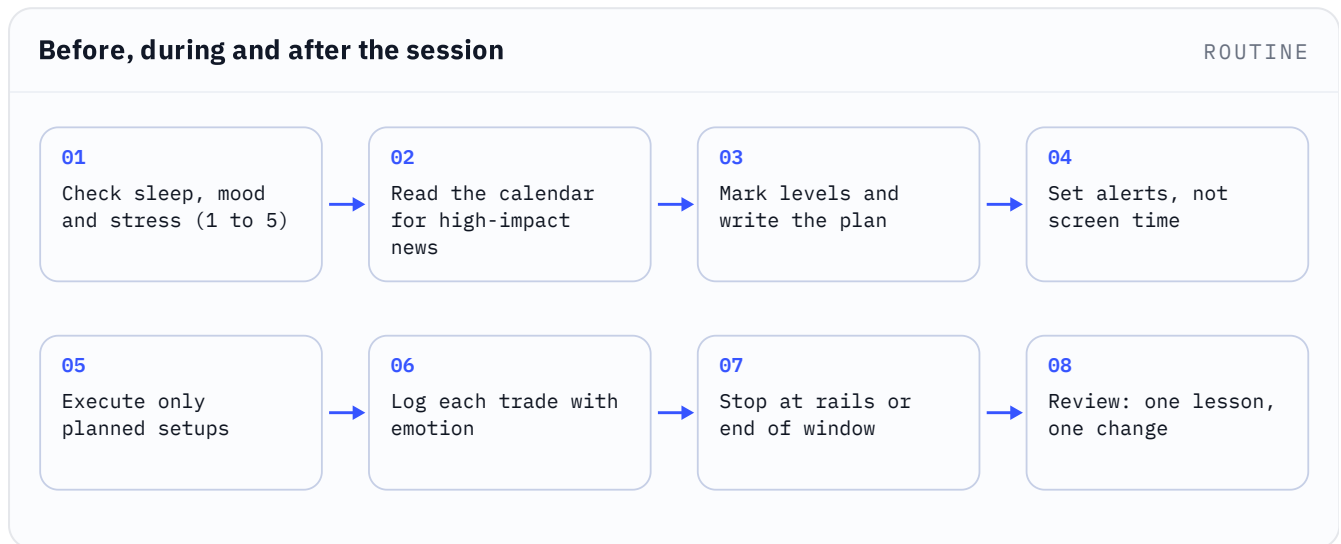
PRACTICE TASK

Write your risk-scaling rules: when you may raise risk, by how much, and when you must lower it.

The routine that protects you

Discipline is not willpower. It is a routine that makes the right action the default. Build one for before, during and after every session.

The 1% daily routine



Readiness check

Before trading, rate your sleep, mood and stress from 1 to 5. If any score is 1 or 2, trade at half size or not at all. You would not drive tired; do not trade tired either.

The weekly review

- What was my process score this week?
- Which rule did I break most often, and what triggered it?
- What is the one change for next week? Only one.

Use the weekly review worksheet in the resource library. It is designed to fit in 20 minutes.

KEY TAKEAWAYS

- Routines beat willpower.
- Check readiness before you trade, and reduce size when you are not.
- Review weekly and make one change at a time.

COMMON MISTAKES

- Opening charts without a plan and 'seeing what happens'.
- Skipping the review after a winning week.
- Trying to fix ten things at once.

PSYCHOLOGY CHECK

Consistency is built on boring days. The routine matters most on the days you least want to follow it.

PRACTICE TASK

Follow the eight-step routine for ten trading days. Tick each step. Then compare your process score with the ten days before.

Your notes

Write what you saw in the market while doing the practice tasks: the instrument, the date, what the lesson predicted and what actually happened.

Test yourself

10 questions. Aim for 80% or better, then take the quiz online for your certificate.

1. A strategy wins 40% of trades at +2R and loses 1R otherwise. Its expectancy per trade is...

- A. -0.2R
- B. 0R
- C. +0.2R
- D. +0.8R

2. The best way to judge a single trade is by...

- A. Whether it won
- B. Whether you followed your plan
- C. How it felt
- D. What others did

3. In the emotional cycle, the point of maximum financial risk is...

- A. Capitulation
- B. Euphoria
- C. Hope
- D. Despondency

4. The best time to decide entry, stop, target and size is...

- A. During the trade
- B. Before the trade, when emotions are quiet
- C. After the trade
- D. When the news comes out

5. Price has moved 2R past your planned entry. What does The1% rule say?

- A. Chase with a tighter stop
- B. The trade is missed; let it go
- C. Double the size
- D. Enter with no stop

6. In the revenge-trading example, the planned loss was 1R. The day ended at...

- A. -1R
- B. -3R
- C. -7.5R
- D. +1R

7. Which is a circuit breaker?

- A. Increasing size after a loss
- B. A daily loss limit set in advance
- C. Trading a new market
- D. Removing your stop

8. Loss aversion typically causes traders to...

- A. Let winners run and cut losers
- B. Cut winners early and hold losers
- C. Trade less
- D. Use smaller size

9. After seven wins in a row, you should...

- A. Double your risk
- B. Keep risk the same unless your written scaling rules say otherwise
- C. Stop using stops
- D. Trade more markets

10. Your readiness check shows sleep at 2 out of 5. The routine says...

- A. Trade normally
- B. Trade at half size or not at all
- C. Trade double to finish early
- D. Skip the stop-loss

Answers and explanations

#	ANSWER	WHY	REVIEW
1	C. +0.2R	$0.4 \times 2 - 0.6 \times 1 = +0.2R$.	Lesson 1
2	B. Whether you followed your plan	Outcomes of single trades are noisy. Process is what you control.	Lesson 1
3	B. Euphoria	Euphoria comes at the top, when buying feels safest.	Lesson 2
4	B. Before the trade, when emotions are quiet	Moving decisions before the trade removes emotion from them.	Lesson 2
5	B. The trade is missed; let it go	If price is more than 1R away from the planned entry, the trade is missed.	Lesson 3
6	C. -7.5R	The emotional follow-up trades added 6.5R of losses.	Lesson 4
7	B. A daily loss limit set in advance	A pre-set daily loss limit stops the spiral.	Lesson 4
8	B. Cut winners early and hold losers	Avoiding the pain of loss leads to small wins and big losses.	Lesson 5
9	B. Keep risk the same unless your written scaling rules say otherwise	Streaks are variance. Risk changes only on a schedule.	Lesson 6
10	B. Trade at half size or not at all	Low readiness means reduced size or no trading.	Lesson 7

Keep going

Finished the workbook? Enroll in the next masterclass in the The1% Academy, log every practice trade in the journal, and review your results in R every week.

The1% Academy study material, written for The1% members. For education only; not financial advice. Trading leveraged products such as forex, CFDs and crypto carries a high risk of losing money. Past results do not guarantee future results.